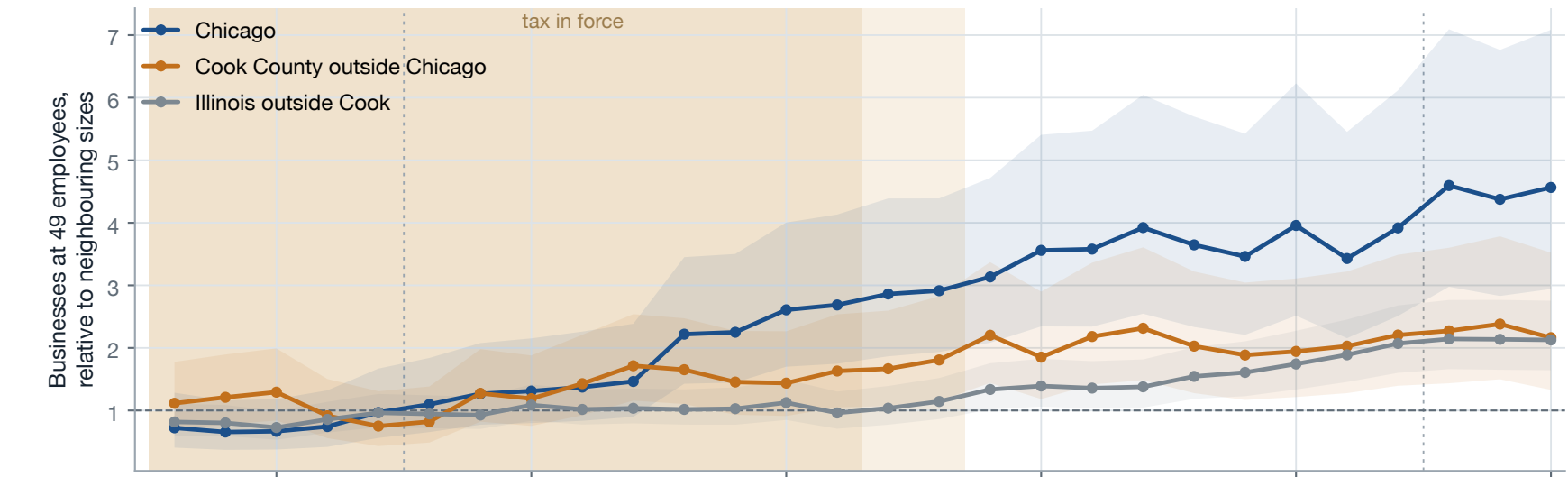


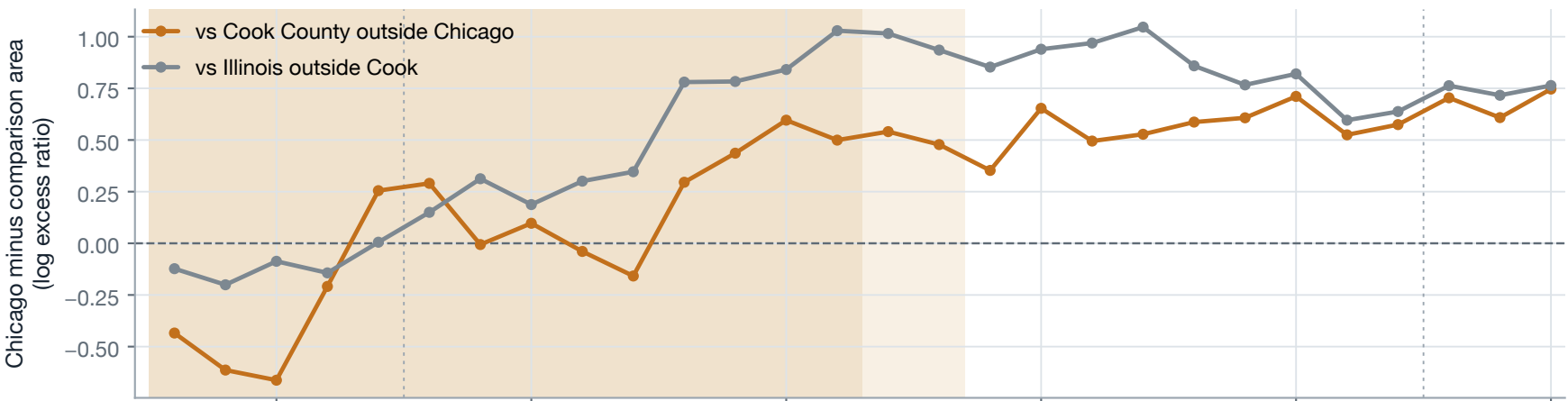
No evidence that the head tax caused bunching below 50 employees

Businesses reporting exactly 49 employees, the last size below the old threshold, 1998-2025

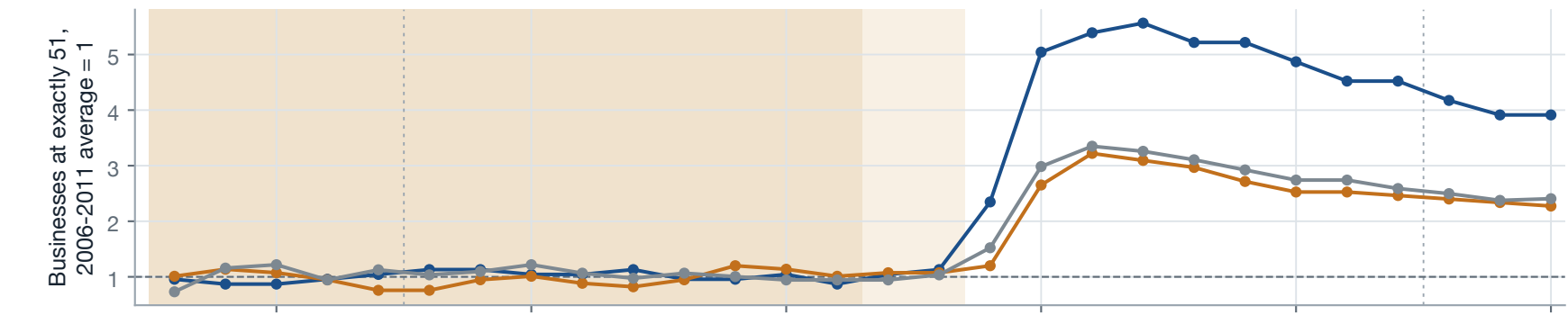
Excess at 49 rises in all three areas, including one that never had the tax



The test: a tax effect would make this gap close after the 2014 repeal. It does not.



What misled the first pass: a data-vendor jump at 51 employees, in all three areas at once



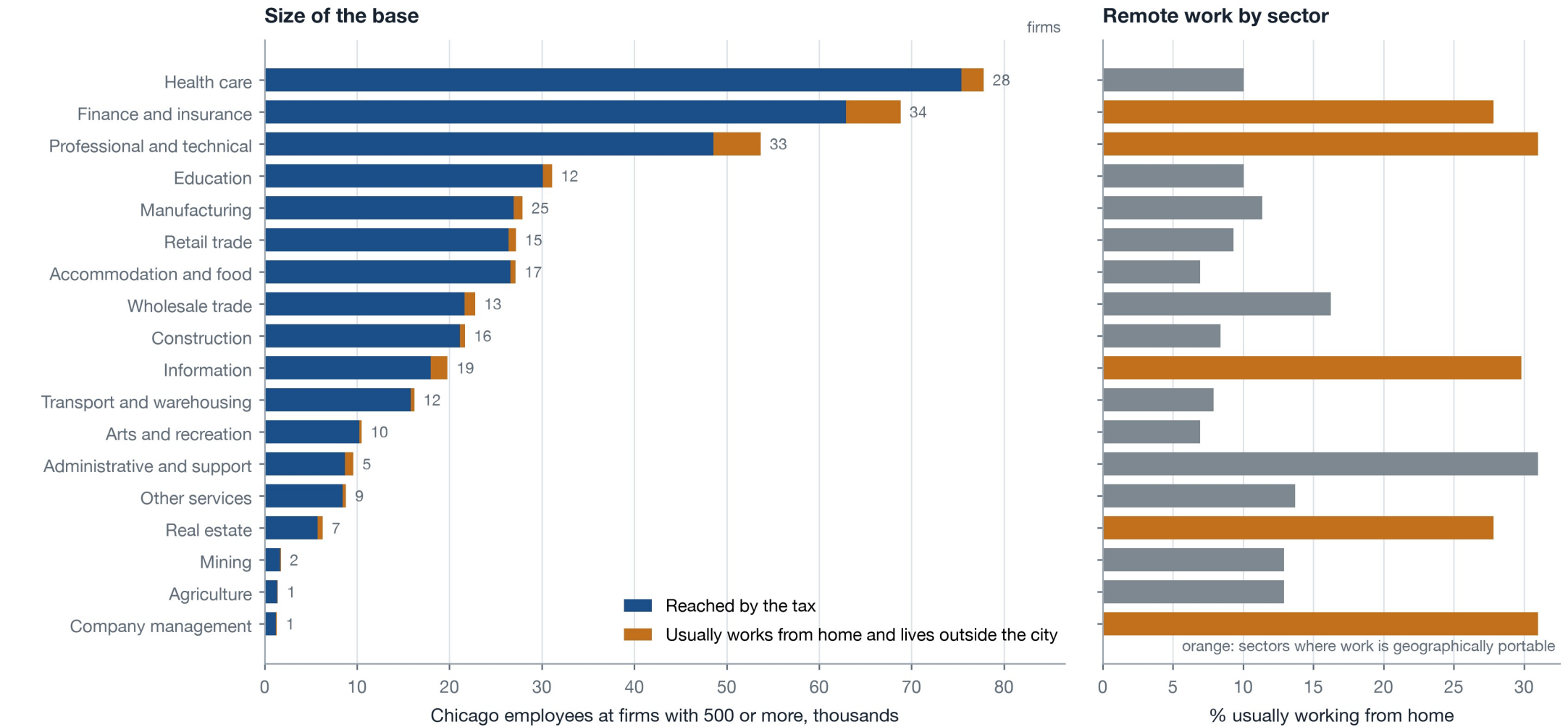
Difference-in-differences, 2003-2011 (taxed) against 2014-2022 (repealed), in log points with 95% confidence intervals: against Cook County outside Chicago -0.33 (-0.63 to -0.03); against Illinois outside Cook -0.29 (-0.53 to -0.04). Both are negative, meaning the gap widened after repeal.

Across eight specifications (three comparison areas, two baselines, two samples) none is positive and statistically significant. Excess mass = businesses at 49 divided by the average at 46-48 and 52-54, skipping 51.

Single-location businesses with vendor-verified headcounts; 1997 excluded for lack of a verification flag. Dotted lines mark vendor coding changes. Source: Data Axle (Infogroup) historical business files, 1997-2025.

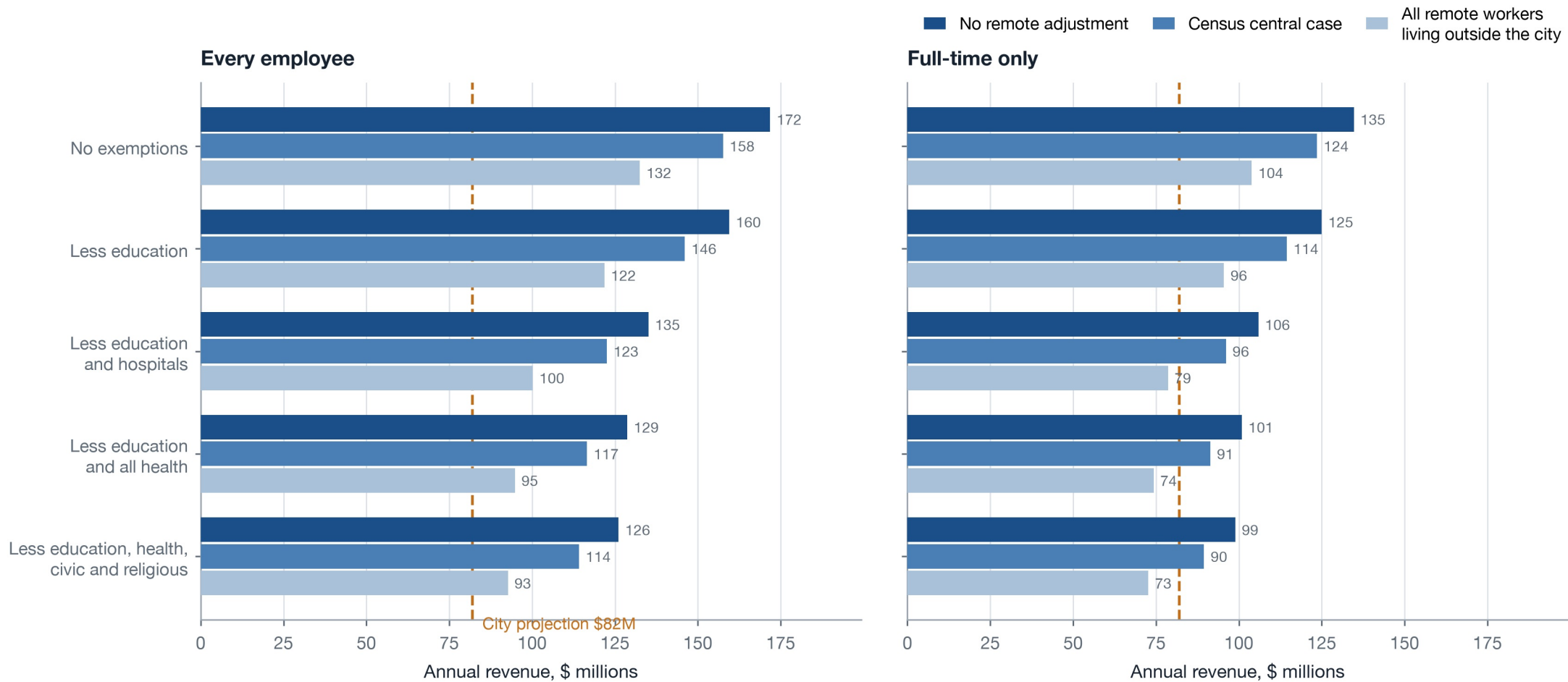
Most of the tax base sits in sectors that cannot relocate work, but not all of it

Firms with 500 or more Chicago employees in 2025: 259 firms, 433,815 employees, of which 35% in portable sectors



Every plausible reading raises more than the city projected

A \$33 per employee per month tax on firms with 500 or more Chicago employees: \$90M to \$158M on central Census assumptions



Firms are corporate parents (Employer's Expense Tax Ruling #2), counted from establishment records for the City of Chicago in 2025. Government employers are excluded as non-taxable. Full compliance and no behavioural response are assumed, so these are upper estimates within each scenario.

Remote adjustment: employees who usually work from home, at American Community Survey 2024 rates by industry for the Chicago metropolitan area, and who live outside the city are removed; firms falling below 500 employees then leave the base entirely. The bounding case assumes every mostly-remote employee lives outside Chicago.

Sources: Data Axle (Infogroup) 2025 business file; ACS tables B08126, B08008, B08604 and B23022.

Annual revenue by exemption and tax rate

Firms with 500 or more Chicago employees, after the Census remote-work adjustment. Figures reaching \$200M are highlighted

Every employee (232 firms at the 500-employee threshold)

Exemptions	proposal \$33 per month	\$40 per month	\$50 per month	\$60 per month	\$75 per month
None	\$158M	\$191M	\$239M	\$287M	\$358M
Education	\$146M	\$177M	\$221M	\$266M	\$332M
Education and hospitals	\$123M	\$149M	\$186M	\$223M	\$279M
Education and all health	\$117M	\$141M	\$177M	\$212M	\$265M
Education, health, civic and religious	\$114M	\$138M	\$173M	\$208M	\$260M

Full-time only (232 firms at the 500-employee threshold)

Exemptions	proposal \$33 per month	\$40 per month	\$50 per month	\$60 per month	\$75 per month
None	\$124M	\$150M	\$187M	\$225M	\$281M
Education	\$114M	\$139M	\$173M	\$208M	\$260M
Education and hospitals	\$96M	\$116M	\$146M	\$175M	\$218M
Education and all health	\$91M	\$111M	\$138M	\$166M	\$208M
Education, health, civic and religious	\$90M	\$108M	\$136M	\$163M	\$203M

The rate under discussion, \$33 per employee per month, is shaded. Revenue is exactly proportional to the rate because the base does not depend on it, so the other columns scale the first.

Central Census case: employees who usually work from home (American Community Survey 2024 rates by industry for the Chicago metropolitan area) and who live outside the city are removed, and a firm qualifies on its adjusted Chicago employment.

Firms are corporate parents (Employer's Expense Tax Ruling #2); government employers are excluded as non-taxable. Full compliance and no behavioural response are assumed. Sources: Data Axle (Infogroup) 2025 business file; ACS tables B08126, B08008, B08604 and B23022.